CUSTIE PLATFORM

Chargeback & Dispute Management Policy

Fraud Operations & Trust and Safety

Confidential | Internal Use Only

Document Owner	Fraud Operations & Trust and Safety
Classification	Confidential - Internal Use Only
Payment Processor	Stripe
Applies To	All consumer transactions processed through the Custie platform

1. Purpose & Scope

This document defines Custie's chargeback and dispute management policy, including the procedures for responding to payment disputes, identifying fraudulent chargeback activity, and protecting the platform and its service providers from illegitimate claims.

All transactions on the Custie platform are processed through Stripe. Any dispute or chargeback initiated by a consumer is routed through Stripe's dispute management system before reaching the Custie fraud operations function. The Fraud Operations Manager is the designated owner of all chargeback and dispute responses on behalf of the platform.

2. Payment Infrastructure Overview

Understanding how payments flow through the platform is essential context for how chargebacks are initiated and managed.

Payment Processor	Stripe
Transaction Flow	Consumer initiates payment through the Custie platform frontend → Stripe processes the transaction → funds are held or released to the service provider per platform payout terms
Dispute Notification	Stripe notifies Custie of a dispute via webhook or dashboard alert. The Fraud Operations Manager is responsible for reviewing and responding.
Response Window	Stripe provides a defined response window (typically 7-21 days depending on card network) for the platform to submit evidence in a chargeback dispute.

Fraud Operations Role	The Fraud Operations Manager owns all dispute responses. No automated chargeback response tooling is used at this time.

3. Chargeback Types & Risk Classification

Not all chargebacks represent fraud. The following table defines the chargeback types the platform may encounter, their risk classification, and the appropriate response posture.

Chargeback Type	Description	Risk Level	Response Posture
Legitimate Dispute	Consumers did not receive the service paid for, or the service was materially different from what was described	**Low**	Investigate service delivery. Work with providers. Refund if warranted.
Friendly Fraud	Consumer received the service but filed a chargeback to obtain a refund fraudulently	**High**	Gather evidence of service delivery. Submit rebuttal to Stripe. Flag consumer account for review.
True Fraud	Unauthorized transaction consumer's payment method was used without their knowledge	**High**	Confirm with consumer. Cooperate with Stripe dispute process. Review for ATO on consumer account.
Provider Fraud	Provider colludes with a consumer to generate fraudulent transactions and chargebacks against the platform	**High**	Escalate immediately. Suspend both accounts. Submit full evidence package to Stripe.
Duplicate Charge Dispute	Consumer was charged more than once for the same transaction	**Low**	Confirm with engineering. Issue refund for duplicate charge. No fraud flag required.

4. Chargeback Response Workflow

The following workflow defines the step-by-step process for responding to a chargeback or dispute from the moment it is received through final resolution.

Stage 1: Dispute Receipt & Initial Review

1. Receive dispute notification from Stripe via dashboard alert or webhook notification.
2. Log the dispute immediately: consumer account ID, transaction amount, dispute reason code, and Stripe response deadline.
3. Identify the dispute type using the classification table in Section 3.

4. If the dispute is classified as High risk (friendly fraud, true fraud, or provider fraud): escalate immediately to leadership and flag the associated account(s) for review.

Stage 2: Investigation

5. Review the consumer's account record and transaction history in the admin portal.
6. Contact the associated service provider to confirm whether the service was delivered as described.
7. Gather all available evidence relevant to the dispute, including transaction record from Stripe, service confirmation from the provider, any communication between the consumer and provider on the platform, and the consumer's onboarding record and account history.
8. Assess whether the dispute is legitimate, friendly fraud, or indicative of account compromise.

Stage 3: Response Submission

9. Based on investigation findings, determine the appropriate response: accept the dispute, submit a rebuttal, or issue a voluntary refund.
10. If submitting a rebuttal: compile the evidence package and submit it through the Stripe dashboard within the response deadline.
11. If issuing a voluntary refund: process through Stripe and document the reason.
12. Document the response decision and supporting rationale in the case record.

Stage 4: Account Action

13. If the dispute is determined to be friendly fraud or provider fraud: flag the account(s) for review per the escalation framework.
14. Apply the appropriate account action: warning, temporary suspension, or permanent removal based on the severity and pattern of behavior.
15. Notify the affected participant of the account action through the platform.

Stage 5: Closure & Documentation

16. Record the dispute outcome once Stripe renders a final decision.
17. Update the case record with the full dispute timeline, response submitted, account actions taken, and outcome.
18. Review the dispute for any patterns or signals that should inform updates to the fraud controls or detection logic.

5. Friendly Fraud Detection

Friendly fraud, where a consumer receives a service but files a chargeback to obtain a refund fraudulently, represents the highest-probability chargeback risk for a service marketplace like Custie. The following signals indicate potential friendly fraud and should trigger elevated scrutiny during dispute investigation.

Signal	Implication
Consumer has a history of prior disputes or complaints on the platform	Pattern behavior suggests bad faith use of the dispute process
Provider has confirmed and documented service delivery	Undermines the consumer's claim of non-delivery
Consumer continued to engage with the provider after the disputed service	Inconsistent with a genuine non-delivery or dissatisfaction claim
Chargeback filed shortly after the service was completed without any prior complaint	Suggests retroactive attempt to recover payment for a completed service
Consumer account was created recently with limited platform history	New account fraud vector, account may have been created with intent to defraud

6. Stripe Integration & Fraud Operations Role

Stripe serves as the payment processing infrastructure for all consumer transactions on the Custie platform. The Fraud Operations role within the Stripe integration is defined as follows:

- Owning all dispute and chargeback responses submitted through the Stripe dashboard on behalf of the platform
- Monitoring Stripe for dispute notifications and ensuring response deadlines are met
- Partnering with engineering on any payment-related fraud signals that require platform-level investigation or account action
- Providing input on Stripe configuration decisions that affect fraud exposure, including refund policies and payout timing
- Escalating any dispute patterns or anomalies that suggest systemic fraud risk to leadership

The Fraud Operations manager does not have access to Stripe's engineering-level configuration. Platform-level Stripe setup and webhook configuration are managed by the engineering team. The fraud operations function operates at the dispute response and account action layer.